

Promo Sunset Playbook & Ideal Customer Profile

Strategic Customer Retention & Promotional Optimization Framework

1. Objective of the Playbook

The objective of this playbook is to provide strategic recommendations for improving customer retention, reducing unnecessary promotional dependency, and maximizing long-term customer profitability.

The playbook was developed based on:

- customer loyalty analysis
- discount dependency analysis
- repeat purchase behavior
- customer segmentation
- annual value estimation
- revenue contribution analysis

The goal is to help the business transition from promotion-driven growth toward sustainable customer loyalty and retention.

2. Current Business Situation

The analysis revealed that while discounts and promotional campaigns influence customer purchasing behavior, they are not the primary drivers of long-term customer loyalty.

Key observations include:

- Non-discount customers generated higher overall revenue.
- High-value customers showed lower dependency on promotions.
- Subscription and repeat purchase behavior were stronger indicators of loyalty.

- Premium customer segments demonstrated stronger retention potential.

This suggests that the business already possesses a strong customer foundation but should gradually reduce excessive promotional reliance.

3. Ideal Customer Profile (ICP)

The ideal customer identified through the analysis demonstrates the following characteristics:

Customer Characteristics

Customer Tier

- Platinum-tier customer
- High loyalty classification

Behavioral Traits

- Frequent repeat purchases
- Strong subscription engagement
- Consistent purchasing behavior
- Low dependency on discounts

Financial Characteristics

- High average purchase value
 - Strong estimated annual customer value
 - Significant long-term revenue contribution
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Why This Customer Segment Matters

These customers:

- contribute the highest long-term profitability
- demonstrate stronger brand engagement
- require lower promotional spending
- show better retention stability

Retaining and expanding this customer segment should become the company's primary strategic focus.

4. Promo Sunset Strategy

Problem Identified

The analysis showed that blanket discount campaigns do not significantly improve long-term customer value or loyalty.

Excessive promotional dependency can:

- reduce profit margins
 - train customers to wait for discounts
 - weaken organic purchasing behavior
 - reduce perceived product value
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Strategic Goal

Transition from:

discount-driven customer retention

toward:

loyalty-driven customer engagement

without negatively impacting customer retention or sales volume.

5. Recommended Strategic Actions

5.1 Reduce Blanket Discount Campaigns

Current Issue

Universal discounts are being offered across multiple customer segments regardless of loyalty or customer value.

Recommendation

Gradually reduce:

- sitewide discounts
- generic promotional campaigns
- frequent coupon dependency

Expected Impact

- improved profit margins
 - stronger organic purchasing behavior
 - reduced promotional dependency
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5.2 Introduce Personalized Promotions

Recommendation

Provide targeted rewards based on:

- loyalty score
- customer tier
- purchase frequency
- customer lifetime value

Examples

- reactivation offers for inactive customers
- loyalty rewards for premium users
- personalized recommendations

Expected Impact

- improved customer engagement
- more efficient promotional spending
- better conversion rates

5.3 Prioritize High-Value Customer Retention

Target Customers

- Platinum customers
- Gold customers
- subscription users
- repeat buyers

Recommended Strategies

- VIP loyalty programs
- exclusive member benefits
- early product access
- personalized support

Expected Impact

- higher retention rates
 - stronger long-term profitability
 - increased customer lifetime value
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5.4 Strengthen Subscription Programs

Observation

Subscribed customers demonstrated:

- stronger loyalty
- higher annual value
- higher repeat purchase behavior

Recommendation

Enhance:

- membership rewards
- subscription incentives
- premium customer experiences

Expected Impact

- improved retention stability
 - recurring revenue growth
 - increased engagement
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5.5 Focus on High-Performing Product Categories

Observation

Clothing and Accessories generated the highest revenue contribution.

Recommendation

Increase:

- marketing investments
- cross-selling strategies
- promotional focus

for high-performing categories.

Expected Impact

- improved revenue generation
 - stronger category profitability
 - increased average order value
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6. Long-Term Strategic Vision

The long-term objective should be to build:

- loyalty-driven customer engagement
- personalized retention systems
- data-driven marketing strategies

instead of relying heavily on short-term promotional campaigns.

The business should focus on:

- customer experience
- retention quality
- repeat purchase behavior
- subscription ecosystems

to maximize long-term customer value and sustainable growth.

7. Final Strategic Conclusion

The analysis indicates that the business is already building a meaningful loyal customer base and is not entirely dependent on discounts for retention.

While promotional campaigns still influence purchasing behavior, long-term customer value is more strongly associated with:

- repeat purchases
- loyalty engagement
- subscription participation
- customer tier quality

By gradually reducing blanket discounts and strengthening personalized loyalty strategies, the company can improve profitability while maintaining strong customer retention and engagement.

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